

OPTION AGREEMENT -- KW-02 (Clearwater Land LLC)

FICTITIONAL DEMONSTRATION DOCUMENT -- USA v. Cascade Timber Holdings, Inc.

This Option Agreement is entered into as of September 20, 2022 (the "Effective Date"), by and between Clearwater Land LLC, an Oregon limited liability company, owner of record of certain Klamath County land off Route 97 ("Owner"), and Alder Point Partners ("Optionee"), with respect to parcel KW-02 (Assessor acreage 111.87 acres), as described in Exhibit A (legal description and tax lot). The Property adjoins other land of Owner to the north, which is the subject of a separate option agreement being negotiated between the Parties.

1. OPTION TERM

Twelve (12) months from the Effective Date, with one six (6) month extension at Optionee's election.

2. OPTION FEE (SCHEDULE 1)

Option Fee of \$12,000, payable in three Option Payments of \$4,000 each: the Initial Option Payment within five (5) business days after the Effective Date; the Second Option Payment on or before the 180th day after the Effective Date; and the Third Option Payment on or before the 270th day after the Effective Date, subject to Optionee's deferral right (Section 3.3, deferred payments capped at the end of the Option Term) and prepayment right (Section 3.4). Option Payments are credited against the Purchase Price at Closing.

3. PURCHASE PRICE; CLOSING

\$1,150 per acre of Net Acreage as shown on the Survey. Closing within sixty (60) days after Optionee's Exercise Notice. Owner may continue existing grazing use until Closing.

OWNER: CLEARWATER LAND LLC, an Oregon limited liability company

/s/ Gordon L. Pruitt

Gordon L. Pruitt, Managing Member

Date: September 19, 2022

OPTIONEE: ALDER POINT PARTNERS

/s/ Tom Reyes

Tom Reyes, Land Acquisition Manager

Date: September 20, 2022

[Conformed summary of the wet-signed agreement; the executed scan controls. Exhibit A not reproduced.]